EXCLUSIVE

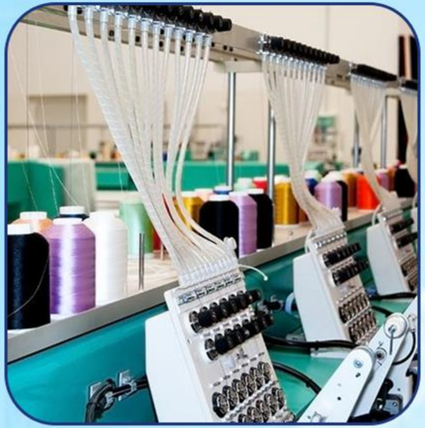
IAS PRELIMS 2026

CURRENT AFFAIRS

GS-1 (DYNAMIC)

REVISION

MODULE - 10



INDIAN ECONOMY - 2

IMPORTANT TERMINOLOGY FOR EASY UNDERSTANDING

Learning Space

1 Retrospective Taxation

Bringing a law in 2025, making it applicable from 2021!

2 Base Effect

When economy contract by 7% in 2023-24 and grows by 8% in 2024-25, net growth is almost zero over two years!

3 Transfer Price

The price charged, when "Horlicks" is sold by GlaxoSmithKline (India) to its parent company in London. Companies normally manipulate to suit taxation.

4 Base Erosion and Profit Shifting (BEPS)

When Google earns Rs. 100 cr. in India and shifts Rs. 90 cr. as patent charges to Bahamas and lessens its tax burden (though legally), it is BEPS.

IMPORTANT TERMINOLOGY FOR EASY UNDERSTANDING

5 Negative Output Gap

If economy has potential to grow @ 8%, and growing @ 6%, it is negative output gap.

6 Tax Buoyancy

If taxes grow @11%, when nominal economy grows @ 10%, tax buoyancy is 1.1.

7 Capital Gains Tax

If you purchase a house in posh Gachibowli (Hyderabad) @ Rs. 50 lakhs last year and sell it @ Rs. 100 lakhs this year, you made huge profits. Taxing these profits is Capital Gains Tax.

8 Opportunity Cost

Last year you invested Rs. 1 lakh in SBI FD and got Rs. 5,000 as interest. Had you invested in Reliance shares, you could have got Rs. 20,000 as returns. Here, Opportunity Cost is Rs. 15,000.

IMPORTANT TERMINOLOGY FOR EASY UNDERSTANDING

9 Currency manipulation

If cost of 1 Kg Rice is Rs. 60 for the exporter and if he sells it @ $ 1 per Kg in UAE, he gets Rs. 28 profit as $ 1 = Rs. 85. If the Government manipulates to make $ 1 = Rs. 100, then rice can be sold at $ 0.9 a Kg (Rs. 90) and he earns Rs. 30 profit. China comes under suspicion quite often.

10 Direct Tax

Whoever earns, they only pay. It is progressive, redistributes incomes (in turn wealth) and rich-poor gap will be reduced.

11 Indirect Tax

Whether Mukesh Ambani or a poor man buys a Cinthol soap, both will pay same tax, say, Rs. 2. It is nothing for Ambani, but very high for the poor man! Hence regressive and disproportionate. This makes poor further poor.

IMPORTANT TERMINOLOGY FOR EASY UNDERSTANDING

12 Inflation

Our money loses value. High growth and overheating results in inflation. High inflation can be due to commodities boom, easy money, supply chain disruptions, fuel price increase, high demand for goods, low interest rates, among others.

13 Deficit financing

When father borrows Rs. 2 lakh and completes B. Tech. of his son, son becomes software engineer (productive asset). Same logic applies to Governments. But, when Rs. 2 lakh is spent by father in day-to-day expenditure, it will be unproductive. Hence Governments should not have revenue deficits.

14 Import Cover

Our annual goods imports are around $ 700 bn and our Foreign Exchange Reserves are also around $ 700 bn. Hence, these $ 700 bn are sufficient to pay for the imports for 12 months. Hence, 12 months is the import cover.

15 Predatory pricing

- It is the pricing policy of a firm, with the express intent of harming the rivals.
- Here, through massive price cutting / discounts, it tries to eliminate the rivals and subsequently, it increases the prices, when the competition is lost.

amazon

Jio

Flipkart

16 Insider trading

- Key employees or executives normally have access to the strategic information about the company.
- They resort to trading in shares and takes advantage of confidential information, which is not known to the general public.

PROBLEMS IN ALLOWING CRYPTOCURRENCIES

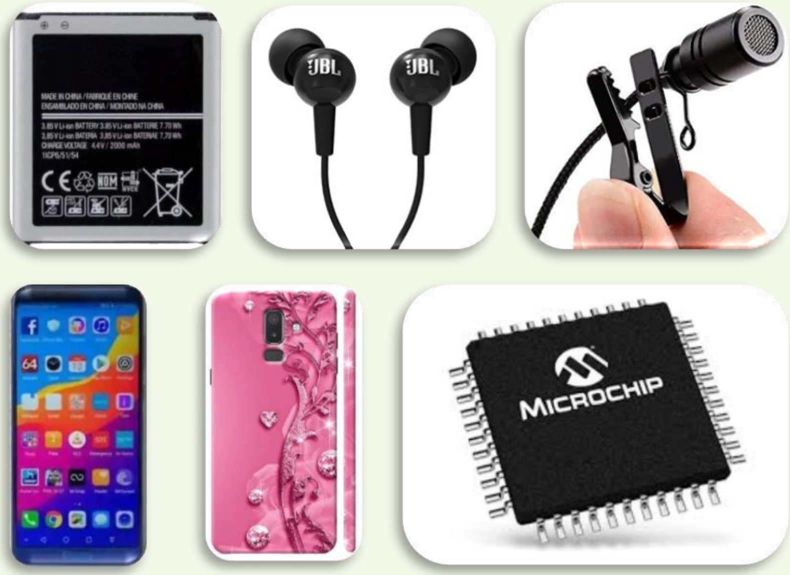
- Proliferation of black money
- Terror funding
- Not issued on behalf of government and people may become vulnerable.
- Ineffectiveness of monetary policy
- Limits to foreign exchange transactions will become infructuous.

WHAT IS A BITCOIN?

- Bitcoin is one of Cryptocurrencies.
- A Cryptocurrency is a digital asset.
- This is created to function as a medium of exchange like cash.
- It uses cryptography to ensure the security of transactions, that means, it authenticates and prevents duplicate transactions.
- They function on peer-to-peer basis without any central authority.
- It need not be attached to a fiat currency.
- It is used and accepted among the members of a specific virtual community.

Satoshi Nakamoto, widely regarded as the founder of the bitcoin defined bitcoins as "a new electronic cash system that is fully peer-to-peer, with no trusted third party".

VARIOUS COMPONENTS OF MOBILE PHONES



GLOBAL VALUE CHAINS

- Single finished product results from design, manufacturing and assembly in multiple countries.
- Each step may add value to the end product. Hence, the overall global trade becomes higher than the total quantum of the end products.
- Countries often trade know-how / technology and they make things together.
- India is not active into Global Value Chains due to various reasons.

WHAT IS MAKE IN INDIA?

- It is to give thrust to domestic manufacturing.
- Since liberalization, the share of manufacturing in the overall GDP is hovering around 15 to 17% of GDP.
- The Government aims to increase this share to 25% by 2025.

HOW DOES THE GOVERNMENT WANT TO REALISE THIS?

- Government increased import duties. The idea is import substitution i.e., to substitute some of the imports with domestically manufactured goods.
- At the same time, Government unveiled an incentive scheme for the incremental manufacturing through Production-Linked Incentive (PLI) scheme.

CURRENCY SWAP AGREEMENTS

- They are beneficial for soft currencies like Rupee.
- In exchange for the Rupees, it facilitates acquiring hard currencies like Dollars, Euro or Yen.
- This is for the agreed period, and it is reversed after this period.
- They facilitate meeting the short-term liquidity mismatches on the foreign exchange front.
- They curb the speculative pressure on soft currencies.
- It is one way of protecting soft currencies from depreciation.

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